



NATIONAL JUNIOR COLLEGE
SH2 Preliminary Examinations for General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9757/02

Paper 2 Essays

31 August 2020

2 hours 15 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B, and **one** from **either** Section A or Section B.

The number of marks is given in brackets [] at the end of each question or part question.

This document consists of 3 printed pages and 1 blank page.

Answer three questions in total.

Section A

One or two of your three chosen questions must be from this section.

1. Rising incomes, convenience in the collection, delivery and payment of food orders and technological advancement have contributed to the rapidly growing output of third-party online food delivery platforms such as Deliveroo and GrabFood.

Discuss the demand and supply factors that determine the increase in the output in the market for third-party online food delivery platform and evaluate which is the most important factor. [25]

2. Singapore's three major telcos – Singtel, StarHub and M1 – have been grappling with disruption caused by technology and regulatory changes. While technology allows for the expansion of network bandwidth and reduction of digital congestion with adoption of the new 5G network, it also enables the entry of virtual mobile telcos like Circles.Ki who does not have its own physical mobile network but leases from existing telcos.

Source: Adapted from *The Business Times*, 9 October 2018

Using economic analysis, discuss how a major telco such as Singtel would likely respond to these changes. [25]

3. The Singapore Ministry of Education (MOE) has set up a new task force in the midst of an ongoing debate on social equality and the role played by schools in closing the socioeconomic gap. MOE is stepping up its provision of more MOE kindergartens to provide more affordable and quality early childhood services as research shows early intervention is crucial for a good start in life.

Source: Adapted from *The Straits Times*, 21 December 2018

- (a) Explain why markets might fail in the case of public goods and where information is imperfect. [10]
- (b) Discuss the factors that the Singapore government should consider in their decision to increase their intervention in the education market. [15]

Section B

One or two of your three chosen questions must be from this section.

- 4 In 2018, Singapore's real GDP per capita grew by 2.66% and the current account on the balance of payment was S\$86 billion in surplus.

Source: *The Statistica*, accessed 28 May 2020

Assess whether real GDP per capita and current account balance are the best economic indicators to measure the success in achieving good economic performance in Singapore. [25]

- 5 High unemployment during a severe recession such as the 2008-2009 financial crisis have drawn up many concerns including income inequality.

- (a) Explain the impact of a global recession on a country's circular flow of income. [10]
 (b) Discuss whether an expansionary budget is the best way to overcome the challenges brought about by a severe recession. [15]

- 6 Since 1981, monetary policy in Singapore has been centered on the management of the exchange rate. The primary objective has been to promote price stability which helps Singapore maintain its global competitiveness in export and capital markets.

- (a) Explain the internal and external factors that may cause a depreciation in a country's exchange rate. [10]
 (b) Discuss whether the policies to improve its global competitiveness might cause difficulties for an economy. [15]